



Executive summary

The integrator

Performance

Corporate governance

Sustainability

Financials

1

Ocean freight rates

Risk owner..... CPO – Ocean
Year-on-year risk movement..... Increasing
Risk category..... Strategic

2

Geopolitical tension

Risk owner..... CCAO
Year-on-year risk movement..... Increasing
Risk category..... Strategic

3 NEW RISK

New Ocean network

Risk owner..... CPO – Ocean
CEO – APM Terminals, COO
Year-on-year risk movement..... New risk
Risk category..... Operational

4

Logistics growth

Risk owner..... CPO – Logistics & Services
Year-on-year risk movement..... Stable
Risk category..... Operational

5

Process and technology transformation

Risk owner..... CTO, CSO
Year-on-year risk movement..... Stable
Risk category..... Strategic

What is this risk

The profitability in Ocean could deteriorate and potentially be negative for a prolonged period. The risk is driven by the potential for supply and demand imbalances in the Ocean freight market. A significant drop in rates over a longer period could lead to a significant financial loss.

Escalation of geopolitical tension may have a strong and immediate impact on the future supply chain through disruptions in supply, demand and logistics infrastructure and, eventually, fragmentation of supply chains and changed trade patterns. This is particularly the case where tension mounts to military conflict and/or trade sanctions being applied.

The new network may not operate as intended and deliver the targeted results in terms of reliability and costs. In the short term, this could be driven by inability to respond to the multiple changes required. In the longer term, this could be driven by hubs capacity and flexibility or meltdown, leading to lower reliability, increased costs and loss of customer confidence.

Maersk faces a risk of not being able to deliver profitable growth in the logistics business within the envisaged period of time, which would impact the ability to execute on the integrator strategy and realise financial targets.

A serious delay or failure to execute the technology roadmap and to standardise core end-to-end business processes will have a material negative impact on Maersk's growth vision as an end-to-end integrator of global container logistics.

How we manage it

Maersk has limited levers to impact the overall demand for container shipping and cannot influence the market rates. With the focus on managing rate exposure via revenue optimisation during different cycles in the market, product differentiation as well as cost strategy to effectively reduce the unit cost, the company will, all else equal, continue to reduce the impact.

Maersk monitors geopolitical developments and takes adaptive steps as required, including reducing exposure to critical suppliers, evaluating alternative procurement options, implementing adequate payment profiles, creating external communication plans and advancing business continuity planning.

Maersk is focused on the implementation of the plan to ensure smooth transitioning to the new Ocean network during the phase-in period (February-May 2025). Close collaboration with Hapag-Lloyd is in place to ensure required governance, data and reporting.

Differentiated growth will be achieved by focusing on markets where Maersk has an existing right to win, restoring margins through execution of turnaround plans and accelerating operational excellence through process standardisation and platform modernisation. The focus is also on optimal asset deployment, driving cost effectiveness and productivity and gaining competitive advantage.

Maersk focuses on stabilising and modernising core applications and infrastructure and driving progress on platform-to-platform integration opportunities to enhance the overall transformation in alignment with the Maersk Integrator Strategy. In addition, Maersk is committed to delivering a Process Maturity Roadmap which includes end-to-end process designs, metrics and control implementations.

Risk tolerance

High: Maersk assumes margins will continue to be under pressure in the short to medium term. In addition, the geopolitical landscape makes the industry extraordinarily volatile.

High: Maersk aims to have multiple options in place for several procurement categories and to be able to adjust the network and capacity in the ocean business to accommodate for potential disruptions and changes in customer needs and trade patterns.

Medium: Maersk targets high schedule reliability, reduced port call hours and unit cost, mainly driven by the leaner mainliner, hub capacity and shuttle service operated by Maersk.

Medium: Maersk targets large and profitable volume growth across its Warehousing, Landside, e-commerce and Air products through organic growth and opportunistic acquisitions, cost reductions and increased productivity, driven by automation through platform roll-outs.

Medium: In 2025, Maersk continues to target significant progress in the implementation of best-in-class technology platforms and automate its processes to support end-to-end supply chain solutions and underpin customer convenience and satisfaction.

Potential scenario

The increase in vessel capacity in the market combined with a significantly lower demand lead to a drop in freight rates that continues for longer than expected

Military conflicts or comprehensive and long-lasting naval blockades leading to obstruction of major network routes and potential wide sanctions inhibiting trade in major markets affected.

Lack of smooth transitioning to the new Ocean network and/or an insufficient level of the network's resilience creates challenges associated with the reliability and unit cost that result in loss of business and/or customers.

Lack of profitable growth at the envisaged pace in Logistics & Services delays the implementation of the integrator strategy and keeps the company exposed to the financial volatility of the Ocean segment.

Unsuccessful implementation of digitised supply chain solutions causes a loss of the digital competitive advantage and customer dissatisfaction and impacts the company's reputation and financial performance.